IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Amalgamation* of

CP(CAA)/52(CHE)2022 IN CA(CAA)/123(CHE)2021

STERLITE PORTS LIMITED
CIN NO: U40109TN2010PLC084216
Sipcot Industrial Complex,
Madurai Bye Pass Road, Tuticorn,
Thootukudi – 628 002

... 1st Petitioner / Transferor Company I

PARADIP MULTI CARGO BERTH PRIVATE LIMITED
CIN NO: U35100TN2011PTC079116
Sipcot Industrial Complex,
Madurai Bye Pass Road, Tuticorn,
Thootukudi – 628 002

... 2nd Petitioner / Transferor Company II

MARITIME VENTURES PRIVATE LIMITED
CIN NO: U61200TN2013PTC091762
Sipcot Industrial Complex,
Madurai Bye Pass Road, Tuticorn,
Thootukudi - 628002

... 3rd Petitioner / Transferor Company III

GOA SEA PORT PRIVATE LIMITED
CIN NO: U63000TN2016PTC111287
Sipcot Industrial Complex,
Madurai Bye Pass Road, Tuticorn,
Thootukudi - 628002

... 4th Petitioner / Transferor Company IV

Along with

SESA MINING CORPORATION LIMITED
CIN NO: U13209GA1969PLC000091
Sesa Ghor, 20 EDC Complex,
Patto, Panaji,
Goa – 403001

... Respondent/ Transferee Company

And

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order Pronounced on ***22nd March 2023***

CORAM

JUSTICE RAMALINGAM SUDHAKAR, Hon'ble PRESIDENT
SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicant(s): *N.L.Rajah, Senior Counsel for Naveen Kumar Murthi, Advocate & G.V. Mohankumar, Advocate*

Per: **SAMEER KAKAR, MEMBER (TECHNICAL)**

The hearing of this Company Petition has been conducted through video conferencing platform.

2. The present Company Petition has been filed by the Petitioner Companies above named for the purpose of the approval of the Scheme of Amalgamation of **STERLITE PORTS LIMITED** (for brevity "Transferor Company 1"), **PARADIP MULTI CARGO BERTH PRIVATE LIMITED** (for brevity "Transferor Company 2"), **MARITIME VENTURES PRIVATE LIMITED** (for brevity "Transferor Company 3") and **GOA SEA PORT PRIVATE LIMITED** (for brevity "Transferor Company 4") with **SESA MINING CORPORATION LIMITED** (for brevity "Transferee Company") under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity 'the Rules') (hereinafter referred to as the

'SCHEME') pursuant to the Scheme proposed by the Petitioner Companies and the said Scheme is also annexed at ***"Annexure 1"*** in respect of the Joint Company Petition typeset. In respect of the Transferee Company, the Hon'ble NCLT Mumbai Bench has already approved the Scheme in CP(CAA)/88/MB/2022 vide order dated 06.06.2022.

3. **1ST MOTION APPLICATION – IN BRIEF**

3.1. The Transferor Company and Transferee Company had filed its First Motion Application vide CA(CAA)/123(CHE)/2021 seeking directions as follows:

	EQUITY SHAREHOLDERS	SECURED CREDITORS	UNSECURED CREDITORS
TRANSFEROR COMPANY – 1	To dispense with	NIL	To dispense with
TRANSFEROR COMPANY – 2	To dispense with	NIL	To dispense with
TRANSFEROR COMPANY – 3	To dispense with	NIL	To dispense with
TRANSFEROR COMPANY – 4	To dispense with	NIL	To dispense with

3.2. Based on such application moved under Sections 230-232 of the Companies Act, 2013, directions were issued by this Tribunal, vide order dated 30th March 2022, to dispense the meetings of Equity Shareholders & Unsecured Creditors of

the Transferor Companies (1 – 4). It was represented that there are no Secured Creditors in respect of the Transferor Companies (1 to 4). Subsequently the second motion petition was filed before this Tribunal by the petitioner companies on ***11.04.2022*** for sanction of the Scheme of Amalgamation by this Tribunal.

4. RATIONALE OF THE SCHEME

4.1. The rationale and benefits of the Scheme as submitted by the Learned Counsel for the Petitioner Companies would *inter alia* result in the following benefits;

a) Consolidation of the Business Operations undertaken by the Transferor Companies and the Transferee Company.
b) Reduction of Inter-Company Transactions between the Transferor Companies and the Transferee Company.
c) Consolidation of Value in the Transferee Company.
d) Reduction in number of Companies leading to reduced compliance requirements.
e) Reduction in overheads, administrative, managerial and other expenditure, and optimal utilization of various resources due to consolidation of activities.
f) Greater Efficiency in cash management of Transferee Company and access to Cash Flow generated by combined business. And;

g) The Scheme shall be beneficial and in the best interest of the shareholders and creditors of the Transferor Companies (1 to 4) and the Transferee Company and all concerned

5. In the second motion application filed by the Petitioner Companies, this Tribunal vide order dated 01.06.2022 directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities viz. (i) Regional Director (Southern Region),Chennai (ii) RoC, Chennai, (iii) Official Liquidator (iv) Deputy Commissioner of Income Tax, and other sectoral regulators, who may govern the working of the respective companies, as well as for paper publication to be made in "Business Standard", English (All India Edition) and "Makkal Kural" Tamil (Tamil Nadu Edition).

6. In compliance to the said directions issued by this Tribunal, the Petitioner Companies have filed an affidavit of service before the Registry of this Tribunal on 08.07.2022 under SR No. 4163/2022 and a perusal of the same discloses that the Petitioner Companies have effected paper publications as directed by the Tribunal in "Business Standard" (All India Edition) in English and "Makkal Kural" (Tamil Nadu Edition) in Tamil on 14.06.2022. It is also seen that notices have been also served to (i) Regional Director, Southern Region, Chennai on 07th June 2022, (ii) Registrar of Companies, Chennai on 07th June 2022, (iii) Official Liquidator on 06th June 2022

(iv) Deputy Commissioner of Income Tax on 06th June, 2022, and the proof of the same by way of affidavits have been enclosed with the separate typed set. Pursuant to the service of notice of the petition the following statutory authorities have responded as follows:

7. STATUTORY AUTHORITIES

7.1. REGIONAL DIRECTOR

The Regional Director, Southern Region *(hereinafter referred to as 'RD')* Chennai has filed his Report before this Tribunal on 03.11.2022 and has stated in Para 3 of the RD Report as per Clause 1.2 of Part I of the Scheme provides that the Appointed date is 01.10.2020, which is ante-dated beyond a year and is not in accordance with Sec.232(6) of the Companies Act, 2013. It is prayed by the RD to direct the Company to revise the appointed date or may determine an Appointed Date as it deems fit.

7.1.1. It is further averred in para 7 of the RD Report that as per Clause 10 of Part II of the Scheme has stated about the protection of employees of the Transferor Companies. It is submitted that the employees of the Transferor Companies shall deemed to have become staff and employees of the

Transferee Company with effect from the Appointed Date or date of joining, whichever is later without any break in their service and other benefits.

7.1.2. It is further averred in para 8 of the RD Report that Clause 14 of Part II of the Scheme provides that the Transferee Company shall issue and allot to the members of the Transferor Company 1 & Transferor Company 2, equity shares, at par, credited as fully paid up in lieu of shares held by them in the Transferor Company 1 & 2 in the following ratio: (1) 431 fully paid-up Equity Shares of Rs. 100 each of the Transferee Company for every 100 fully paid-up Equity Shares of Rs. 2 each held by the Shareholders in the Transferor Company 1; and (2) 10 fully paid-up Equity Shares of Rs. 10 each held by the Shareholders in the Transferor Company 2, as consideration upon effectiveness of the proposed Scheme of Amalgamation. It is further submitted that Transferor Company 3 & 4 shall become wholly owned subsidiaries of the Transferee Company, post amalgamation.

7.1.3. It is further observed that as per para 10 of the RD report wherein it has been stated that Clause 13 of Part II of the Scheme provides for clubbing of Authorized Share Capital as such Authorized Share Capital of the Transferor

Companies (1 to 4) shall stand altered and merged with the Authorized Share Capital of the Transferee Company. It is further averred in the RD Report, that as per Clause V of the MOA of the Transferee Company shall be altered as the Authorized Share Capital of the Company shall be Rs. 11,62,00,000 divided into 11,62,000 equity shares of Rs. 100 each. It is prayed by the RD that the Hon'ble Tribunal may direct the Transferee Company to pay the difference in fee/stamp duty and also file the amended MOA and AOA with the Registrar of Companies in connection with the proposed increase of Authorised Share Capital.

7.1.4. It is further submitted that as per para 12 of the report of the ROC, Chennai, the Transferor Companies (1 to 4) have filed their statutory returns upto 31.03.2022. It is further submitted that as per the Report of the ROC, Chennai, there are no prosecution/ complaint/ inspection pending against the Transferor Companies (1 to 4)

7.1.5. Thus, after examining the Scheme, except the observations made in para 3 & 10 of the RD Report, the Regional Director in their Report has stated that they have decided not to make any objection to the Scheme.

7.1.6. In relation to the objections raised by the RD, it is seen that Transferor Companies (1 to 4) and Transferee Company has filed an Affidavit dated 16.12.2022 vide S.R.No. 6535 stating that a reading of Section 232(6) and the clarification circular issued by the Ministry of Corporate Affairs by general Circular No. 09/2019 dated 21.08.2019 does not in any manner prohibit antedating of the appointed date even before a year from the date of filing and the only prescription is that the justification is to be provided. Further, it was submitted that a detailed explanation has been provided in para 9 of the scheme itself. Reliance was also placed upon the Judgment of the Hon'ble Supreme Court in the matter of **Marshal Sons & Co (India) Ltd. -Vs- Income Tax Officer,** *(1997) 2 SCC 302* wherein it para 14 it has been categorically stated that the Appointed date antedating the date of filing of the Scheme before the Court / Tribunal is very much permissible;

> "It must be remembered that before applying to the Court under Section 391(1), a scheme has to be framed and such scheme has o contain a date of amalgamation/transfer. The proceedings before the Court may take some time; indeed, they are bound to take some time because several steps provided by Sections 391 to 394-A and the relevant Rules have to be followed and complied with. During the period the proceedings are pending before the Court, both the amalgamating units, i.e., the Transferor

Company and the Transferee Company may carry on business, as has happened in this case but normally provision is made for this aspect also in the scheme of amalgamation. In the scheme before us, clause 6(b) does expressly provide that with effect from the transfer date, the Transferor Company (Subsidiary Company) shall be deemed to have carried in the business for and on behalf of the Transferee Company (Holding Company) with all attendant consequences. It is equally relevant to notice that the courts have not only sanctioned the scheme in this case but have also not specified any other date as the date of transfer/amalgamation. In such a situation, it would not be reasonable to say that the scheme of amalgamation takes effect on and from the date of the order sanctioning the scheme. We are, therefore, of the opinion that the notices issued by the Income Tax Officer (impugned in the writ petition) were not warranted in law. The business carried on by the Transferor Company (Subsidiary Company) should be deemed to have been carried on for and on behalf of the Transferee Company. This is the necessary and the logical consequence of the Court sanctioning the scheme of amalgamation as presented to it. The order of the Court sanctioning the scheme, the filing of the certified copies of the orders of the Court before the Registrar of Companies, the allotment of shares etc. may have all taken place subsequent to the date of amalgamation/transfer, yet the date of amalgamation in the circumstances of this case would be 1-1-1982. This is also the ratio of the decision of the Privy Council in RaghubarDayal v. Bank of Upper India Ltd. [AIR 1919 PC 9: 46 IA 135: 23 CWN 697]"

7.1.7. In relation to the objection raised by the RD, we have perused the Reply filed by the Petitioner Company. In support of his contention, the Learned Counsel for the

Petitioner Company relies upon the Ministry of Corporate Affairs general Circular No. 09/2019 dated 21.08.2019.

7.1.8. In order to better address the said issue, it is necessary to understand the spirit of the Ministry of Corporate Affairs No.09/2- 19, letter dated 21.08.2019. The Supreme Court in the case of **Marshall & Co. India Ltd. -vs- ITO** *(223 ITR 809)* has held that every scheme of amalgamation has to necessarily provide a date with effect from which the amalgamation/transfer should take place and such date shall precede the date of sanctioning of the Scheme by the Court, the date of filing of the certified copies of the order of the Court before the Registrar of Companies, and the date of allotment of shares. Further, the Madras High Court in the matter of **Equitas Housing Finance Limited and Equitas Micro Finance Limited (Transferor Company) with Equitas Finance Limited (Transferee Company)** in *C.P. Nos. 119 to 121 of 2016*, has rejected the argument and advised in its order to mention the Appointed Date in the scheme as a specific calendar date. To comply with the order of Hon'ble Madras High court the Petitioners (Transferor and Transferee Company) had to modify the scheme of Amalgamation by providing a specific calendar date as the Appointed Date.

7.1.9. Due to such an interpretation being given to Section 232(6) of the Companies Act, 2013, the Ministry of Corporate Affairs (MCA) received several queries which it has addressed by way of the circular. It has relied on the rulings of the Hon'ble Apex Court in **Marshall Sons & Co. India Limited** (supra) and the Hon'ble Madras High Court in **Equitas Housing Finance Limited and Equitas Micro Finance Limited with Equitas Finance Limited** in *C.P. Nos. 119 to 121 of 2016* as the basis for its clarification. On a perusal of the clarification issued by the MCA vide its General Circular No.09/2019 on 21.08.2019, posits the following facts;

- The 'Appointed Date' can be a specific calendar date or be tied to the occurrence of an event e.g., grant or transfer of licenses, the fulfilment of conditions precedent, etc. (prospective date).

- If the Appointed Date' is a calendar date, it may precede the date of applying for the Scheme before the NCLT.

- <u>If the Appointed Date' is predated by a year or more from the date of applying with NCLT, justification should be provided for the same in the Scheme and it should not be against the public interest</u>.

- If 'Appointed Date' is based on the occurrence of an event, the said event should be specifically identified in the Scheme upon the occurrence of which the scheme would become effective. If the event-based date is a date after the date of filing the order with the concerned RoC under Section 232(5) of the Companies Act, 2013 the concerned Company shall file an intimation of the same with the RoC within 30 days of such Scheme coming into force.

- The 'Appointed Date' shall also be the 'Acquisition Date' and date of transfer of control to confirm to Indian Accounting Standards 103

7.1.10. In the present case, the Petitioner Company is relying upon the clause which states in the MCA circular dated 21.08.2019 that *"If the Appointed Date' is predated by a year or more from the date of applying with NCLT, justification should be provided for the same in the Scheme and it should not be against the public interest".* The Petitioner Company relies upon Clause 9 of the Scheme as the justification for fixing the Appointed date as 01.10.2020. However, a perusal of Clause 9 of the Scheme would manifest the fact that the same would pertain to Conduct of Business till Effective Date and the business activities to be carried out from the Appointed Date till the Effective Date and the said clause does

not spell out any justification as to why the Appointed date is 'antedated' and as such the same cannot be treated as a justification as mandated in the MCA circular dated 21.08.2019.

7.1.11. However, Clause 1.2 of Part I of the Scheme defines "Appointed Date" and Clause 1.9 of Part I of the Scheme defines "Effective Date" which is as follows;

> ***"Appointed Date"*** *means, October 1, 2020, or such other date as may be fixed or approved by the National Company Law Tribunal or any other appropriate authority.*

> ***"Effective Date"*** *means the date on which the last of the approvals of the Scheme is obtained as per Clause 20 of Part III and the Scheme is made effective with effect from the Appointed date.*

7.1.12. Thus, a perusal of the definition clause in the Scheme would posit the fact that a discretion has been conferred upon NCLT to fix an Appointed Date. In the absence of a specific justification in relation to the Appointed Date as given by the Petitioner Company, this Tribunal in terms of Clause 1.2 of Part I of the Scheme hereby fix the Appointed Date as **01.10.2022.**

7.1.13. Further, the Transferee Company on 16.12.2022 has submitted an affidavit with this Tribunal with respect to the observation made by RD in para 10 of the Report wherein it was submitted that the undertaking to remit the difference of fees, if any, for the enhance authorised capital pursuant to the said Scheme and to file the amended MoA and AoA with the RoC, Mumbai effecting the revision in the Authorized Share Capital of the Transferee Company.

7.2. OFFICIAL LIQUIDATOR

In relation to the Official Liquidator, *(hereinafter referred to as 'OL')* to whom the notice was issued has filed the Report before this Tribunal on 08.12.2022 vide SR.No.6407 has stated that they have appointed M/s. A.N. Sankaran & Co., Chartered Accountants from the panel maintained by their office to verify into the affairs of the Transferor Companies. The Chartered Accountants in their report submitted before the Official Liquidator have observed as follows;

- The Chartered Accountants have examined the audited Balance Sheet, Profit and Loss Account and other relevant documents and records of the Transferor Companies (1 to 4) for the financial years 2021-2022 & 2020-21, 2019-2020 and audited balance sheets and profit and loss accounts for the above said periods.

- The Transferor Companies (1 to 4) is maintaining proper books of accounts and statutory records as per requirements of the Companies Act, 2013 and have been written up in accordance with normally accepted accounting principles.
- The accounts of the companies have been audited, and in their opinion their reports were not qualificatory in nature.
- All the entries have been made in the statutory registers in accordance with requirements of the Companies Act, 2013 and no discrepancies were noted.
- It is also observed from the records maintained at the Office of the Registrar of Companies, Chennai that the company has filed all the returns.
- The company has filed its Income Tax Returns up to A.Y.2021- 2022.
- The Chartered Accountants have examined the record and the documents of the registers of the Registrar of Companies, Chennai and nothing adverse or objectionable affecting the interest of the Company or its members or creditors or prejudicial to the public interest was noticed.

7.2.1. Further in Para 5 of the OL report it was submitted that on scrutiny of the records of the Company, the Chartered Accountants are of the opinion that the business of the Company were not carried on with intent to defraud the creditors of the company or any other persons or for any fraudulent purpose attracting the provisions of Section 339 of the Companies Act, 2013. The Chartered Accountants

further reported that they have not come across any act within the meaning of Section 339 of the Companies Act, 2013, wherein the Directors have misapplied or retained or become liable or accountable for any money or property of the company or have been guilty of misfeasance of breach of trust in relation to the Company or have been involved in diversion of funds prejudicial to the interest of the company. In view of the above, the Chartered Accountants are of the opinion that the affairs of the Transferor Company have not been conducted in a manner prejudicial to the interest of its members or public interest.

7.2.2. Further it is stated in para 6 of the OL Report that the office of OL has received revised report dated 28.11.2022 from the Chartered Accountant, it is reported that on going through this previous report dated 12.11.2022, suo moto, he found that while sending the downloaded Income Tax return of Transferor Company-2 viz., Pradip Multi Cargo Berth Private Limited, the management had attached the downloaded return of Transferee Company Sesa Mining Corporation Limited. Along with the Papers of Transferor Company-2, the document of Transferee Company was mingled. Hence, the carry forward of business loss and carry forward depreciation loss of Transferee Company was

reported in the previous report under Para H.II.A and H.II.B amounting to Rs. 189,03,94,804/- of Carried Forward Business Loss and 37,07,89,581/- of depreciation loss. But actually, as per return of AY 21-22 of Transferor Company 2, there is only Business Loss OF Rs.80,11,451/- and there is no carried forward depreciation loss. As such considering the volume of transactions, the loss is not considerable. In this context, the final conclusion of originally arrived at is amended as under:-

On examination/ scrutiny of the books of accounts, records, registers etc, of the four transferor companies, the Chartered Accountants are of the opinion that the business have not been carried on with intent to defraud the creditors or nay other person or for any fraudulent purpose attracting the penal provisions of Section 339 of the Companies Act. Neither has any person or Officer or Director of the Company misapplied or diverted or retained or became liable or accountable for any money or property of the company or has been found guilty or any misappropriation, breach of trust in relation to the company U/s 340 of the Companies Act. He reported that the comments regarding public interest may please be treated as withdrawn, as the carried Forward Loss is not considerable, considering the carried forward

losses of all transferor companies taken together. The reporting of losses of Transferee Company is taken by mistake, as wrong downloaded return was sent in a mixed along with Return of Transferor Company and it is unintentional. The revised report of the Chartered Accountant dated 28.11.2022 is attached and marked as Annexure-B for kind perusal of this Tribunal.

7.2.3. From the above observations made by the Chartered Accountant, the Official Liquidator sought to take on record and consider the report of the Chartered Accountant and has also sought to fix the remuneration payable to the Auditor who has investigated into the affairs of Transferor Companies (1 to 4). In this regard, this Tribunal hereby directs the Transferor Companies (1 to 4) jointly to pay a sum of ***₹75,000/- + GST (Rupees Seventy Five Thousand Only Plus GST)*** to the Official Liquidator for the payment of fees payable towards the Auditor who has investigated into the affairs of the Transferor Companies (1 to 4).

7.3. OTHER STATUTORY AUTHORITIES

7.3.1. In relation to the other statutory authorities to whom notices have been issued, neither they have filed any reply nor raised any objections to the Scheme and in the

circumstances, this Tribunal presumes that other statutory Department viz. The Income Tax Department do not have any objection to the sanction of the Scheme.

7.3.2. Despite notice having been served on 06.06.2022 and paper publication made on 14.06.2022 in Business Standard (All India Edition) in English and Makkal Kural (Tamil Nadu Edition) in Tamil, there is no representation from the Department of Income Tax and this Tribunal in terms of Section 230(5) of the Companies Act, 2013 presumes that the Department of Income Tax does not have any objection to the sanction of the Scheme.

7.3.3. In Company Petition CAA-284/ND/2018 vide Order dated 12.11.2018, the NCLT New Delhi has made the following observations with regard to the right of the IT Department in the Scheme of Amalgamation,

> *"taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in RE: Vodafone Essar Gujarat Limited v. Department of Income Tax (2013)353 ITR 222 (Guj) and the same being also affirmed by the Hon'ble Supreme Court and as reported in (2016) 66 taxmann.com.374(SC) from which it is seen that at the time of declining the SLPs filed by the revenue, however stating to the following*

effect vide its order dated April 15,2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutory dues from the transferor or transferee or any other person who is liable for payment of such tax dues, the said protection be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."

8. VALUATION REPORT

8.1. The Learned Counsel for the Petitioner Companies invited the attention of this Tribunal to the Valuation Report obtained from one Siddharth Gupta, Registered Valuer dated 21.08.2021 wherein it has been recommended by the Registered Valuer as follows:

Particulars	Sterlite Ports Limited (Transferor Company 1)	Paradip Multi Cargo Berth Private Limited (Transferor Company 2)	Sesa Mining Corporation Limited (Transferee Company)
Fair Valuation	431.06	-1,447.96	-1,182.84
Recommended Value (Face Value, where the Fair Value is Negative)	431.06	10	100
Share Exchange Ratio	**4.31**	**0.10**	

- ***431 (Four Hundred Thirty One) equity shares of face value of Rs.100 (Rupees One Hundred) each of SMCL to***

be issued against 100 (One Hundred) equity shares of face value of Rs.2 (Rupees Two) of SPL.

- ***10 (Ten) equity shares of face value of Rs.100 (Rupees One Hundred) each of SMCL to be issued against 100 (One Hundred) equity shares of face value of Rs.10 (Rupees Ten) of PMPL***

- ***Since, upon coming of effect of the first sequence of the Scheme, the entire share capital of Transferor Company 3 and Transferor Company 4 shall be held by the Transferee Company directly. Therefore, the Transferee Company shall not be required to issue any shares or pay any consideration to the Transferor Company 3 or Transferor Company 4 or their shareholders.***

9. ACCOUNTING TREATMENT

9.1. The Learned Counsel for the Petitioner Companies have stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and has certified that the Petitioner Companies have complied with proviso to Section 230 (7) / Section 232 (3) and the Accounting Treatment contained in the proposed Scheme of Arrangement is in compliance with the Applicable Indian Accounting Standards. The Certificates issued by the Statutory Auditors certifying the Accounting Treatment of the Petitioner Companies are placed at "Separate Typeset in Transferor Companies and the Transferee Company typed set filed in CA(CAA)/123(CHE)/2021.

10. OBSERVATIONS OF THIS TRIBUNAL

10.1. After analyzing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated amongst the petitioner companies seems to be *prima facie* beneficial to the Company and will not be in any way detrimental to the interest of the shareholders of the Company. In view of the absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme of Arrangement appended at **"Annexure 1"** in respect of the Joint Company Petition typeset filed along with the Petition as well as the prayer made therein.

10.2. The Learned Counsel for the Petitioner companies submitted that no investigation proceedings are pending against the Transferor or Transferee Companies under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Tribunal or erstwhile Company Law Board.

10.3. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory

rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

10.4. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

11. **THIS TRIBUNAL DO FURTHER ORDER:**

(i) That all properties, right and interest of the Transferor Companies (1 to 4) shall, pursuant to section 232(3) of the Companies Act,2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company.

(ii) That all the liabilities, powers, engagements, obligations and duties of the Transferor Companies (1 to 4) shall pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company.

(iii) That the Appointed date for the Scheme shall be **1st October, 2022** in terms of this order.

(iv) That the Transferee Company do without further application allot to such members of the Transferor Company 1 and 2, as have not given such notice of dissent, as is required by Clause 14.3 of Part II of the SCHEME herein the shares in the Transferee Company to which they are entitled under the said SCHEME.

(v) That the Transferor Company 3 and 4 are wholly owned subsidiary of the Transferee Company and hence there shall be no issues of shares post amalgamation.

(vi) That all proceedings now pending by or against the Transferor Companies (1 to 4) be continued by or against the Transferee Company.

(vii) That all the employees of the Transferor Companies (1 to 4) in service on date immediately preceding the date on which the Scheme finally takes effect shall become the employees of the Transferee Company without any break or interruption in their service.

(viii) That the Transferee Company shall file the revised Memorandum and Articles of Association with the concerned Registrar of Companies, and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Companies (1 to 4).

(ix) That the Transferor Companies (1 to 4) and the Transferee Company, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor Companies (1 to 4) shall be dissolved without winding up and the Registrar of Companies shall place all documents relating to the Transferor Companies (1 to 4) registered with him on the file kept by him in relation to all the Transferee Company and the files relating to the said company shall be consolidated accordingly.

(x) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

12. Accordingly, the Company Petitions stands **allowed** on the aforementioned terms.

-Sd-

SAMEER KAKAR
MEMBER (TECHNICAL)

-Sd-

JUSTICE RAMALINGAM SUDHAKAR
PRESIDENT

Sriram Ananth.V